

Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Rules, 2011

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State of Andhra Pradesh - Act

Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Rules, 2011

ANDHRA PRADESH

India

Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Rules, 2011

Rule ANDHRA-PRADESH-MICRO-FINANCE-INSTITUTIONS-REGULATION-OF-MONEY-LENDING-RULES-2011 of 2011

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Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Rules, 2011

Published vide Notification No. G.O.Ms.No. 85, Panchayat Raj & Rural Development (RD-III) Department, dated 26.04.2011

Last Updated 2nd September, 2019

G.O.Ms.No. 85. - In exercise of the powers conferred under sub-section (1) of Section 23 of the Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Act, 2011 (Andhra Pradesh Act No. 1 of 2011), and in supersession of the Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Rules, 2010 issued in G.O.Ms.No. 356, PR & RD (RD I) Department, dated 19.10.2010, the Governor of Andhra Pradesh hereby makes the following rules:

1.

Short title and commencement.

(1)

These rules may be called the Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Rules, 2011.

(2)

These rules shall come into force from the date of publication in the Andhra Pradesh Gazette.

2.

Definitions.

- In these rules unless the context otherwise requires, -

(a)

"Effective rate of interest (r)" shall be the effective rate of interest as specified in column (17) of Form 1.

(b)

"Forms" means Forms appended to these rules;

(c)

"Act" means the Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Act, 2011.

(d)

"Pawn " includes Ration Card, any Health Scheme Cards, property title documents, household articles, pension cards, collateral security; or any benefit provided by Government to the borrower.

(e)

"Slum Level Federation" means and includes federation of Self Help Groups in a slum or habitation facilitated by the Mission for Elimination of Poverty in Municipal Areas (MEPMA).

(f)

"Village Organization " means and includes federation of all Self Help Groups in a village or habitation facilitated by Society for Elimination of Rural Poverty (SERP).

(g)

"Family Member" includes husband, son, daughter, adopted son, adopted daughter, mother, father, father-in-law, mother-in-law, sister-in-law, brother-in-law, grand mother, grand father, son-in-law, daughter-in-law, brother, sister, grand son, grand daughter of the SHG woman who are residing under one roof in the house of the SHG woman.

(h)

"Words" and "Expressions" used but not defined in the Act or under these rules shall have the same meaning assigned to them under any other law relevant with the objectives sought to be achieved under the Act.

3.

Application for Registration.

(1)

Every Micro Finance Institution operating in the State as on the date of the commencement of the Act shall, apply to the respective Registering Authorities in rural and urban areas seeking Registration in Form-I furnishing the details. Provided that Micro Finance Institution operating in more than one District shall file separate applications for Registration in each District.

4.

Verification by the Registering Authority.

(1)

The Registering Authority shall verify whether the details submitted by the Micro Finance Institution are in accordance with the requirements of Rule 3 or not.

(2)

In case, the application is not in accordance with the requirements of Rule 3, it shall be returned for rectification duly stating the reasons for the same.

(3)

If the application is in accordance with the requirements of Rule 3, the same shall be published in the village/municipal ward at the office of the Village Organization/the Slum Level Federation, for inFormation and to get feed-back, if any.

5.

Consequences of furnishing incorrect inFormation.

- If any of the inFormation furnished in Form 1 is found to be incorrect, the Registering Authority shall also launch prosecution under the relevant provisions of the Indian Penal Code, 1860.

6.

Undertaking to be given by Micro Finance Institution before according Registration.

- Every Micro Finance Institution shall give an undertaking in Form 2 signed by the Chief Executive Officer or a person of equivalent designation of the Micro Finance Institution.

7.

Time limit for Registration.

- If all the details furnished by the Micro Finance Institution are in accordance with the requirements of Rules 3 and 6, Registration in Form 3 shall be issued within seven working days from the date of submission of Form-1 and Form 2.

8.

Renewal of Registration.

(1)

Every Micro Finance Institution registered as stated above and desirous of continuing operation of money lending after completion of the one year period, shall apply for renewal of Registration as per the provisions of sub-section (4) of Section 3 of the Act in Form 4 listing therein name-wise details of the borrowers along with the purpose for which loan has been given and the interest rate charged.

(2)

Every application for renewal shall be verified by the Registering Authority by publishing the relevant details in the villages/wards through the Village Organisation or Slum Level Federation or any other person or agency authorised by the Registering Authority inviting objections if any, for such renewal within such date as shall be specified.

(3)

All objections received from the Self Help Groups or the Village Organisations or the Slum Level Federations, shall be got verified by the Registering Authority to satisfy himself about the compliance of the Micro Finance Institution to the provisions of the Act and these rules.

(4)

If any of the details furnished by the Micro Finance Institution in the application filed for renewal, either based on the verification done by the Registering Authority or based on complaints received from public, are found to be incorrect, or if the Micro Finance Institution is found to have violated any of the conditions of the Act, the Registering Authority shall refuse renewal in writing stating the reasons therein.

(5)

The Registering Authority shall also launch prosecution under the relevant provisions of the Indian Penal Code, 1860 in all cases of furnishing false inFormation.

9.

Register of Micro Finance Institutions operating in a district.

(1)

Each Registering Authority shall maintain the list of Micro Finance Institutions registered in the district in Form 5, which shall be available for inspection by general public during the office hours.

(2)

The relevant particulars of the Form 5 concerning the Gram Panchayat or the slum area shall be published at least twice a year on the notice Board of the concerned Gram Panchayat or the Ward Office concerned, apart from exhibiting them on the website.

10.

Cancellation of the Registration.

(1)

The Registering Authority shall cancel the Registration accorded to a Micro Finance Institution on violation of any condition of the Act, or any of these Rules or any clauses of the points of the Undertaking submitted in Form 2, or on any complaint filed and found to be valid under Section 14, or suo moto under Section 5(1), including the following:

(a)

Charging of rates of interest higher than what has been state.d in the application for registration.

(b)

Attempt to recover any money not permitted under the Act or under these rules on the loans given.

(c)

Operating in areas not specifically permitted in the Registration.

(2)

Before passing an order for cancellation of the Registration, the Registering Authority shall cause a notice to be served upon the Micro Finance Institution, requiring it to show cause within fifteen days from the date of service of such notice as to why its-registration should not be cancelled.

(3)

The Registering Authority shall, if the Micro Finance Institution files objections before the date fixed in the notice, after considering the same and if the Micro Finance Institution does not file objections before the date fixed, than after the said date, pass an Order in accordance with the Act, which shall be communicated to the Micro Finance Institution.

11.

Suspension of Registration.

(1)

In case of commission of offences under Section 11(7) and Section 16 of the Act, the Registering Authority can issue an order for suspension of the Registration pending enquiry after recording the reasons for such suspension which shall be communicated to the Micro Finance Institution.

(2)

Every suspension of Registration shall immediately be followed by a notice under Rule 10(2) and the enquiry shall be completed within 15 days from the date of receipt of explanation of such Micro Finance Institution.

12.

Effect of cancellation or non-renewal of Registration.

- In case of cancellation of registration as per Rule 10 or non-renewal of registration as per Rule 8 (4), such Micro Finance Institution shall not extend any fresh loans to the borrowers, but will be entitled to recover the dues of the subsisting loans subject to following the provisions of Section 16 of the Act.

13.

No dual membership.

(1)

No member of a Self Help Group shall be a member of another Self Help Group or any group Formed by any Micro Finance Institution.

(2)

For this purpose, each Registering Authority shall maintain a complete and updated database of the all Self Help Group members and the list of borrowers furnished by the Micro Finance Institutions operating in the district.

14.

Disclosure of interest rates.

(1)

All Micro Finance Institutions registered under this Act shall display the effective interest rates being charged on the loans given by them prominently in all their offices; and the same shall be furnished to the borrowers in writing.

(2)

Non-display of the effective rate of interest shall be an offence punishable under Section 18 of the Act.

15.

All Charges to be subsumed under interest only.

(1)

No Micro Finance Institution shall levy any charge or impose any cost by whatever name called, on the borrowers except the interest rate as disclosed in the letter granting the loan and as reported in the Form 1 and in Form 4.

(2)

No Micro Finance Institution can collect any amounts not being a part of the interest rate and any such collection is a violation under Section 8 (2) of the Act punishable under Section 18.

16.

Discharge of certain loans.

(1)

Based on the database submitted by Micro Finance Institutions registered under these Rules, each Registering Authority shall, identify such loans where the interest paid has exceeded the principal borrowed, and issue a direction in Form 6 for discharge of such loans and for return of such interest portion that exceed the principal amount to the borrower.

(2)

Any attempt to recover these loans discharged in the above manner shall be an offence under Section 18 of the Act and the Registration of such Micro Finance Institutions is liable for cancellation as per Section 5 of the Act.

17.

Procedure to be adopted in case of excess recovery.

(1)

Every Registering Authority, on any complaint of excess recovery of the loan by the Micro Finance Institution or in cases where the interest exceeded the principal amount, shall cause notice to be served upon the said Micro Finance Institution, fixing a date requiring the Micro Finance Institution to show cause why the Registration should not be suspended or cancelled or renewal thereof be prohibited for the said contravention.

(2)

The Registering Authority shall consider the explanation filed if any, received before the last date stated in the notice, and pass order for refund of such excess money to the borrower.

(3)

Non-implementation of the Order passed in accordance with Section 9 of the Act shall be an offence punishable under Section 18 of the Act.

18.

Procedure in case Micro Finance Institution wants to advance loan to a Self Help Group member.

(1)

Micro Finance Institution proposing to advance loan to a Self Help Group or its member already having an outstanding loan taken from any Bank through the Self Help Group, shall apply for prior approval in Form 7 giving details of the member of the Self Help Group as provided in Section 10(2) of the Act.

Provided that any advance of loan to family member of the Self Help Group woman by the Micro Finance Institution after the Act is deemed to be a loan advanced to Self Help Group woman by the Micro Finance Institution. Any violation of this rule by Micro Finance Institution is violation of the Act.

(2)

The Registering Authority or any person or Agency authorised by him shall verify the details within the time limits laid down in the Act; and conduct such verification with the Self Help Group to satisfy himself that the purpose for which the loan is proposed would generate additional income needed to service the loan.

(3)

Every permission granted under Section 10(3) of the Act shall be in Form 8.

19.

Granting multiple loans to be an offence.

- Any Micro Finance Institution granting a loan to any Self Help Group or its members having an outstanding loan except as provided in Section 10 shall be liable for punishment under Section 18 of the Act.

20.

Manner, Form and Format of the loan.

(1)

The loan contracted between a borrower and the Micro Finance Institution shall be repayable in the manner as laid down below:

(a)

The repayment of the loan shall be on a periodicity which shall not be less than one month.

(b)

The interest shall be calculated on diminishing balances.

(c)

The equated instalment's calculated in the above manner shall be intimated along with all other terms and conditions of the loan and shall be duly acknowledged by the borrower.

(2)

The letter sanctioning the loan shall be in Form 9.

21.

Issue of receipts for the repayments.

- Every payment received from a borrower shall be duly acknowledged by issuing a written receipt and a copy of the same shall be available in the records of the Micro Finance Institution.

22.

Furnishing statement of account to the borrower.

- The Micro Finance Institution shall deliver a copy of the statement of account on demand free of cost to the borrower.

23.

Place of collecting repayments in urban area.

- No Micro Finance Institution shall collect repayment of the Instalment due in urban areas except in a public place like office of Slum level Federation or ward office.

24.

Micro Finance Institution not to employ recovery agents.

(1)

No Micro Finance Institution shall employ any recovery agent for recovery of the loans except the employees named in the Form 1 filed at the time of Registration.

(2)

For the purpose of this Rule, any person who is not named in Form 1 but effecting recoveries shall be treated as recovery agent; and Micro Finance Institution responsible for such collection shall be liable for action under Section 18 of the Act.

25.

Monthly Statement by Micro Finance Institution to Registering Authority.

(1)

The monthly Statement as per Section 12 of the Act shall be in Form 10 of these rules and shall contain all the loans granted and recoveries made during the previous month.

(2)

Non submission of Form 10 shall be an offence punishable under Section 18 of the Act.

26.

Procedure for summoning Witnesses and requiring production of documents.

- For the purposes of implementing the provisions of the Act, the Registering Authority shall have the same powers with regard to summoning of Witnesses, requiring production of documents, recording evidence and other proceedings as are provided under the Code of Civil Procedure, 1908 and the provisions of the Code of Criminal Procedure 1973.

27.

Power to search and seizure.

(1)

The Registering Authority or any other officer authorised by him can conduct the search of such premises and seize such records as required under Section 13 of the Act.

(2)

The Registering Authority or any other officer authorised by him can summon the representative of the Micro Finance Institution located in the district by issuing summons as per Form 11.

28.

Complaints.

(1)

Every complaint under Section 14 of the Act shall be either in writing before the Registering Authority or by using the Toll Free telephone provided for this purpose.

(2)

All complaints registered shall be enquired into by the Registering Authority or an officer authorised by him within seven days from the date of receipt of the complaint.

(3)

If, after due enquiry into the complaint, the Registering Authority is satisfied that there is sufficient evidence of violation

of the provisions of the Act, he shall, issue a show cause notice to the Micro Finance Institution in Form 12 and take action under Rule 10.

29.

Prosecution of cases.

(1)

In case of any offence committed under Sections 16 and 17 of the Act, the Officer in charge of the Police Station under whose jurisdiction the offence has occurred shall register the case either on complaint or suo motu and proceed in accordance with the provisions of the Code of Criminal Procedure, 1973.

(2)

The progress of investigation and prosecution in all such cases shall be reported to the Registering Authority on a monthly basis. The Commissioner of Printing, Stationery and Stores Purchase (Printing Wing) Hyderabad is requested to publish the above notification in the Extraordinary issue of the Andhra Pradesh Gazette, and furnish 1000 copies of the Notification to Government in Panchayat Raj and Rural Development (RD.III) Department immediately.

Form 1

(Rule 3)

A.

Format for application for registration

1. Name of the Micro Finance

Institution/Organization :

2. Nature of the Organization:

(Company/Partnership Firm/Society/NBFC/

Co-Operative Society/Money Lender/HUF/Proprietary Firm / Others

Specify)

B.

Details of incorporation

1. Whether Incorporated or not :

2. Date of incorporation:

3. Place of Incorporation:

4. Reference number of Incorporation:

5. Present Address of the registered office:

6. Details of persons connected with and responsible For the day-to-day control, business and Management of the Micro Finance Institution:

S.No

Name of the person

Designation Official address

Residential address

Contact number

Email

Address

1

2

3

4

5

6

7

C.

Details of Organization at District Level

1. New Micro Finance Institution or Existing Micro Finance Institution

2. List of the office(s) of the Micro Finance Institution in the district:

S.No.

Name of the branch

Office Address

Name of the head of the branch operations

Contact number

Email address

1

2

3

4

5

6

3. Names and details of employees deployed in the district.

Sl. No.

Name

Designation

Residential Address

Contact No

EPF Code

Area allocated for operation

1

2

3

4

5

6

7

D.

Details of subsisting loans

Sl No.

Name of the Borrower/ Father/ Husband

Ration Card No.

Village/ Ward/slum

Mandal/Town

Name of the Self Help Group belonging to

Amount of loan given

Purpose for loan

Amount realized so far towards

Principal

Interest

1

2

3

4

5

6

7

8

9

10

Number of Instalment's for repayment

Periodicity of payment Daily/ Weekly/
Fortnightly/ Monthly
Mode of compounding of interest Weekly rest
Monthly rest Quarterly rest Half Yearly rest Yearly rest
Instalment amount
Effective rate of interest (including interest,
insurance and all other charges payable by the borrower)
Total number
So far paid

11
12
13
14
15
16
E.

Area of Operation: Currently operating or assigned to operate during the year

Sl. No.

Village/ slum

Mandal/Town

Name of the functionary /supervisor

Name of the branch of Micro Finance Institution
servicing the area

Number of existing borrowers

1
2
3
4
5
6

Certificate

This is to certify that the particulars stated above are true and correct to the best of my knowledge and belief and no inFormation has been knowingly or unwittingly suppressed.

I understand and agree that if any of the inFormation is found to be false, the organization will be liable for prosecution under provisions of Law.

I request that the Micro Finance Institution may be registered for operation in the district in accordance with the provisions of the Act.

Date:Place:

Signature of the CEO.

Form 2

(Rule 6)

Written undertaking to be submitted by the Chief Executive Officer

I, the Chief Executive Officer of the Micro Finance Institution authorized to sign on behalf of the Micro Finance Institution, hereby give the following undertaking that the said Micro Finance Institution shall at all times during the currency of the Registration shall:

1. Act in conFormity with all the provisions of the Act.
2. Not seek any security from a borrower by way of pawn, pledge or other security for the loan.
3. Not levy any hidden charges by any name or in any Form, in the name of insurance, application fee, processing fee, recovery fee and the like -except the interest rate duly disclosed to the borrower.
4. Display the rates of interest charged in a conspicuous place in the Registered Office, Head Office and all Branch Offices in bold letters visible to members of the public.

5. Not collect interest in respect of any loans advanced an amount in excess of the principal amount under different names.
6. Not resort to further loaning to an Self Help Group or its members having an outstanding bank loan without prior approval in writing from the Registering Authority.
7. Furnish and update the details of the borrowing Self Help Group group members and other inFormation in manner laid down under these Rules.
8. Not deploy any agents for recovery nor shall use any other coercive action.
9. Maintain the statutory records as per the Act and to cooperate with any officers acting under the provisions of the Act.
10. Not carry out any money lending activity outside the area mentioned in the Form 1.
11. Not to recover any loan not disclosed in Form 1.

Certificate

This is to certify that the particulars stated above are true and correct to the best of my knowledge and belief and no inFormation has been knowingly or unwittingly suppressed.

I understand that any violation of any of the above conditions of undertaking will result in cancellation of Registration as laid down in the Act and the Rules.

Date: Palce:

Signature of the CEO.

Form 3

(Rule 7)

Office of the Registering Authority..... District under the A.P. Micro Finance Institutions (Regulation of Money Lending) Rules, 2011

Registration of a Micro Finance Institution for operation.

In accordance with the inFormation furnished by the Micro Finance Institution in the Form and II, Registration has been accorded to the Micro Finance Institution under the Provisions of A.P. M.F.I. (Regulation of Money Lending) Act, 2011 as per the details stated below:

1. Name of the Micro Finance Institution:
2. Registration Number:
3. Area of operation: Urban/rural
4. List of villages/wards permitted for operation (enclosed):
5. Date of issue of Registration:
6. Date of expiry of the Registration:

This Registration can be cancelled prior to the period of expiry in accordance with the Section 5 of the Act and as laid down in the Rules issued thereunder.

This Registration shall not be transferable or assignable to any other person or Organisation. Given under my hand and seal on this.....day of.....20...

Registering Authority.....District.

Form 4

(Rule 8)

Prescribed Format for application for renewal of registration

1

Name of the Micro Finance Institution /

Organization :

2

Nature of the Organization :

(Company/Partnership Firm/Society/NBFC/Co-Operative Society/Money Lender/HUF/Proprietary Firm / Others Specify)

B. Details of incorporation.

1

Whether Incorporated or not :

2

Date of incorporation:

3

Place of Incorporation:

4

Reference number of Incorporation:

5

Present Address of the registered office:

6

Details of persons connected with and responsible For the day-to-day control, business and Management of the Micro Finance Institution:

S.No

Name of the person

Designation

Official address

Residential address

Contact number

Email Address

1

2

3

4

5

6

7

C. Details of Organization at District Level

1

New Micro Finance Institution or Existing Micro Finance Institution

2

List of the office(s) of the Micro Finance Institution in the district:

S.No.

Name of the branch

Office Address

Name of the head of the branch operations

Contact number

Email address

1

2

3

4

5

6

3

Names and details of employees deployed in the district.

Sl. No.

Name

Designation

Residential Address

Contact No

EPF Code

Area allocated for operation

1

2

3
4
5
6
7
D. Details of subsisting loans
Sl.No.
Name of the Borrower/ Father/ Husband
Ration Card No.
Village/Ward/slum
Mandal/Town
Name of the Self Help Group belonging to
Amount of loan given
Purpose for loan
Amount realized so far towards
Principal
Interest
1
2
3
4
5
6
7
8
9
10
Number of Instalment's for repayment
Periodicity of payment Daily/ Weekly/
Fortnightly/ Monthly
Mode of compounding of interest Weekly rest
Monthly rest Quarterly rest Half Yearly rest Yearly rest
Instalment amount
Effective rate of interest (including interest,
insurance and all other charges payable by the borrower)
Total number
So far paid
11
12
13
14
15
16
E. Area of Operation: Currently operating or assigned to operate during the year
Sl. No.
Village/ slum
Mandal/Town
Name of the functionary /supervisor
Name of the branch of Micro Finance Institution
servicing the area
Number of existing borrowers

1
2
3
4
5
6

Certificate

This is to certify that the particulars stated above are true and correct to the best of my knowledge and belief and no inFormation has been knowingly or unwittingly suppressed.

I understand and agree that if any of the inFormation is found to be false, the organization will be liable for prosecution under provisions of Law.

I request that the Registration of the Micro Finance Institution may be extended for a further period of one year for operation in the district in accordance with the provisions of the Act.

Date:Palce:

Signature of the CEO.

Form 4-A

Written undertaking to be submitted by the Chief Executive Officer

I, the Chief Executive Officer of the Micro Finance Institution authorized to sign on behalf of the Micro Finance Institution, hereby give the following undertaking that the said Micro Finance Institution shall at all times during the currency of the Registration shall:

1. Act in conFormity with all the provisions of the Act.
2. Not seek any security from a borrower by way of pawn, pledge or other security for the loan.
3. Not levy any hidden charges by any name or in any Form, in the name of insurance, application fee, processing fee, recovery fee and the like-except the interest rate duly disclosed to the borrower.
4. Display the rates of interest charged in a conspicuous place in the Registered Office, Head Office and all Branch Offices in bold letters visible to members of the public.
5. Not collect interest in respect of any loans advanced an amount in excess of the principal amount under different names.
6. Not resort to further loaning to an Self Help Group or its members having an outstanding bank loan without prior approval in writing from the Registering Authority.
7. Furnish and update the details of the borrowing Self Help Group group members and other inFormation in manner laid down under these Rules.
8. Not deploy any agents for recovery nor shall use any other coercive action.
9. Maintain the statutory records as per the Act and to cooperate with any officers acting under the provisions of the Act.
10. Not carry out any money lending activity outside the area mentioned in the Form 1.
11. Not to recover any loan not disclosed in Form 1.

Certificate

This is to certify that the particulars stated above are true and correct to the best of my knowledge and belief and no inFormation has been knowingly or unwittingly suppressed.

I understand that any violation of any of the above conditions of undertaking' will result in cancellation of Registration as laid down in the Act and the Rules.

Date:Palce:

Signature of the CEO.

Form 5

Register of Micro Finance Institutions Registered to operate in the district
(Rule 9)

1. S.No.:
2. Registration No. :
3. Name of the Micro Finance Institution :
4. Incorporation details :
5. Address of the Head office ;

6. Address of the Head Office in the District :
7. Area of Operation :
8. Name Micro Finance Institution Employees of the village/slum :
9. No of the loans given in the village/slum :
10. Effective Rate of Interest :
11. Date of Expiry of Registration Certificate:

Registering Authority.

Form 6

Discharge of loans

(Rule 16)

Proceedings of the Registering Authority

Present: _____

Whereas it has come to the notice of the Registering Authority that (state the name of the Micro Finance Institution) has given a loan to (Name of the borrower) of (L) repayable in instalment's at (effective interest rate)

And the said borrower has repaid L being the principal and the interest thereon,

Now the interest having exceeded the principal amount, in accordance with the provisions of Section 9 of the Act, the following orders have been issued:

1. The loan stated above taken from the said Micro Finance Institution by the said borrower stand discharged and the said Micro Finance Institution shall not recover any further amounts from the borrower.
2. The said Micro Finance Institution shall return (Rs. _____) being the interest portion that exceeded the principal amount to the borrower within 15 days from the date of this order.

Further the said Micro Finance Institution shall take note that any attempt to recover the loans as discharged in the above manner shall an offence under Section 18 of the Act for which the Registration of the said Micro Finance Institutions would be liable for cancellation as per Section 5 of the Act.

Registering Authority.

To

The Representative of the Micro Finance Institution.

The Borrower.

The Village Organisation/Slum Level Federation.

Form 7

(Rule 18)

Prescribed Format to get prior Approval to advance loan to Self Help Group Member

Name of the Micro Finance Institution:

Registration Number:

Permission may be issued for lending to the Self Help Group members details of whom are furnished hereunder for giving further loan from the Micro Finance Institution in accordance with Section 10 of the Act:

Name of the Borrower & Name of the SHG woman
related to the borrower.

Name of the Self Help Group

Bank Form which Loans has been obtained by the
Self Help Group

Date of the loans granted by the Bank

Amount paid to the Self Help Group by the Bank

Amount due from the Self Help Group

Fresh amount of loan sought by the Self Help

Group from the Micro Finance Institution

Rate of Interest

Instalment amount

Purpose of the loan

Periodicity of the loan repayment

1

2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21

Details of other loans of the borrowers

Total no of instalment's

Anticipated additional monthly income to the member

Details of due diligence done

Name of the Lender

Amount Borrowed

Date of loan

Rate of interest

EMI

Amount repaid so far

Outstanding loans

This is to certify that the particulars stated above are true and correct to the best of my knowledge and belief and no inFormation has been knowingly or unwittingly suppressed. understand that any violation of any of the above conditions of undertaking will result in cancellation of Registration as laid down in the Act and the Rules. The Resolution of the Self Help Group has been enclosed in Form-7 A.

Authorised signatory for the Micro Finance Institution.

Form 7-A

Resolution of the Self Help Group

Name of the Self Help Group:

Name of the village/slum

Name of the Mandal/Town

Date:

Resolved that Smt.....w/o, a member of this group requires loan of (L) for (state purpose of the loan). The group has verified and is convinced that the above loan would generate additional income required to service the loan.

The..... Micro Finance Institution come forward to advance the above loan at..... % of effective interest requiring her to pay an equated Instalment of (L)for (state the number of instalment's) on a declining balance method. There are no other charges levied on the loan except the above interest.

Hence this group is resolved to recommend the name of the member to get loan from the said Micro Finance Institution.

Signature of the Self Help Group members.

Form 8

Grant of Permission for further loan

(Rule 18)

Proceedings of the Registering Authority.....District,

Under the provisions of The A.P. Micro Finance Institutions Regulation of Money Lending) Rules, 2011

Having gone through the application of.....Micro Finance Institution- for the prior approval for advancing a loan of Lto Smt of the (state the name of the Self Help Group),.....village/ward, mandal/town and the resolution passed by the.....Self Help Group, and after verifying satisfying myself of the capability of the Self Help Group member to service the said loan, and also that the further loan will generate additional income to the Self Help Group member, needed for servicing the debt, permission has been accorded to..... Micro Finance Institution to advance (L) as the loan to Smt.....member of the Self Help Group.....

Seal:

Sd/- Registering Authority.

Form 9

(Rule 20)

Sanction letter of a loan by Micro Finance Institution

To

.....

.....

With reference to your application dt.....for sanction of loan (state the name of Micro Finance Institution) hereby sanction an amount of L loan as per the terms and conditions stated below:

1. Name of the borrower :
 2. Amount sanctioned :
 3. Date of the sanction :
 4. Effective rate of interest (to include all charges) :
 5. No of instalment's :
 6. Periodicity of the repayment (monthly/quarterly/half-yearly):
 7. Equated instalment amount (Rs.)
 8. Purpose of the loan :
 9. Name and address of the Micro Finance Institution functionary :
- Please arrange to return the duplicate copy of this letter duly signed for having accepted the above conditions.

Seal

Sd/- (Authorized signatory of Micro Finance Institution).

Form 10

(Rule 25)

Monthly Statement of Micro Finance Institution for.....month

Name of the Micro Finance Institution:

Address of the Micro Finance Institution:

Name of the borrower

Name of Self Help Group

Village / slum

Mandal/ Town

Sanctioned amount

Date of Sanction

(1)

(2)

(3)

(4)

(5)

(6)

Purpose of the loan

Repayment frequency
Number of instalment's
Equated instalment
Amount so far repaid
Outstanding

(7)
(8)
(9)
(10)
(11)
(12)

Sd/Authorised Signatory.

Form 11

(Rule 27)

Summon to witness

(See Sections 160,91 Cr.P.C. under Section 13 of The Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Act, 2011

To

.....

.....

.....[Name, description and place of residence].....

Whereas A complaint has been made before me against the (state the name of the Micro Finance Institution) for violating the provisions of the A.P. Micro Finance Institutions (Regulation of Money Lending) Act, 2011 and it appears to me that you are likely to give material evidence or to produce any document or other thing for the prosecution;

You are hereby summoned to appear before the Registering Authority on theday of.....next at ten o'clock in the forenoon, to produce such document or thing or to testify what you know concerning the matter of the said complaint, and not to depart thence without leave of the Registering Authority; and you are hereby warned that, if you shall without just excuse neglect or refuse to appear on the said date, a necessary proceedings will be issued to compel your attendance.

Dated this.....day of.....20.....

(Seal of the Registering Authority)

(Signature)

Form 12

(Rule 10 and 28)

Show cause Notice to Micro Finance Institution

(Or. 5, R. 3. of CPC r/w Section 5 of the A.P. Micro Finance Institution (Regulation of Money Lending) Act, 2011)

To

.....

.....

[Name, description and place of residence].....

Whereas it has brought to the knowledge of the Registering Authority that the Micro Finance Institution has violated the provisions of the Act, 2011 by indulging in the following acts.

1.
2.
3.

You are hereby summoned to appear before the Registering Authority in person on the day of..... 20. at..... O'clock at..... (place), to submit your reply; and you are further directed to produce on that day all the documents upon which you intend to rely in support of your defense.

Take notice that, in default of your appearance of the day before mentioned, the mater will be heard and determined in your absence.

Given under my hand and the seal of the Court, this day of 20.....

Seal

Registering Authority.

Related AI tags, queries and research notes

Translation